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File No.: EXP202202899

RESOLUTION OF SANCTIONING PROCEDURE

From the procedure instructed by the Spanish Agency for the Protection of Data and based on the following

BACKGROUND

FIRST: A.A.A. (hereinafter, the claimant) filed a complaint with the Spanish Agency for the Protection of Data on 17/02/2022. The complaint is directed against ENERGÍA COLECTIVA, S.L. with NIF B98670003 (hereinafter, the respondent or LUCERA). The reasons for the complaint are as follows: the claimant states that after requesting a change of energy supplier from Endesa to Lucera, the respondent has charged her for the supply of another address and has maintained her supply with ENDESA, who continued billing her.

SECOND: In accordance with Article 65.4 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and Guarantee of Digital Rights (hereinafter LOPDGDD), on 14/03/2022, the complaint was forwarded to the respondent for analysis and to inform this Agency within one month of the actions taken to comply with the requirements set forth in data protection regulations.

The forwarding, which was carried out in accordance with the rules established in Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter, LPACAP), was acknowledged on 15/03/2021 as evidenced by the receipt in the file.

THIRD: On 17/05/2022, in accordance with Article 65 of the LOPDGDD, the complaint filed by the claimant was admitted for processing.

FOURTH: The General Sub-Directorate of Data Inspection proceeded to carry out preliminary investigative actions to clarify the facts in question, by virtue of the functions assigned to control authorities in Article 57.1 and the powers granted in Article 58.1 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and in accordance with the provisions of Title VII, Chapter I, Section two, of the LOPDGDD, being aware of the following points:

In relation to the complaint filed by the interested party, which states that after requesting a change of supplier from Endesa to LUCERA, the latter has charged her for the supply corresponding to another address, while continuing to charge her for the invoices of her address from Endesa.

The representatives of LUCERA have reported what happened based on the history of contacts with the claimant:

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1. On 26/10/2020, they received a phone call in which a person identifying themselves as B.B.B. requested information about the necessary data to contract LUCERA's services. The interested party indicated that they did not have invoices nor knew which supplier they had contracted. They were informed that the necessary data included the personal details of the account holder (name, ID number, address), email, and CUPS. This call was purely informational. At the end of the call, B.B.B. requested a callback after 15 minutes.

2. In the second call, made on the same day, 26/10/2020, B.B.B. indicated that they now had the CUPS, that their distribution company was Iberdrola, and that it had provided the CUPS to carry out the contracting. B.B.B. informed that they were going to contract on behalf of A.A.A., the interested party, and provided her details, including the CUPS ***CODE.1.

The data provided was used to carry out the switching of the supply point identified by the CUPS provided by B.B.B. on behalf of A.A.A.

The energy switching is carried out through the portals provided by the distributors for this purpose, being responsible for providing a rejection or acceptance of the request as they are the ones who have

customer and supply point information that allows them to verify the information indicated by the supplier. In this case, there was no rejection in the switching.

3. On 09/09/2021, almost a year after the contracting, B.B.B., on behalf of A.A.A., contacted LUCERA indicating that they were paying two electricity bills.

From the inquiries made regarding this complaint, it was concluded that the CUPS provided during the contracting was not that of A.A.A., but of a third party, with A.A.A. requesting a restoration, that is, for the contract to be returned to its original holder and original supplier.

4. On 27/10/2021, C.C.C., the owner of the CUPS ***CODE.1 used in the contracting of A.A.A., contacted LUCERA indicating that Iberdrola (his previous supplier) had informed him that his contract was with LUCERA.

On the same day, LUCERA returned the call to C.C.C., who asked who could have carried out the change of supplier in case it was a neighbor from his building.

In that call, several ways to restore his initial situation were explained to C.C.C., to which he asked who would pay his electricity bills for the last year. At this point, the person speaking with C.C.C. mentioned, of their own accord, that perhaps an agreement could be reached with the Mrs., indicating that C.C.C.'s intention was to pay for the consumption of his home during that year. C.C.C. offered to provide his phone number to facilitate contact with the person who holds the contract under his CUPS (A.A.A.).

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At that moment, A.A.A. was paying its bills with LUCERA, that is, the consumption of C.C.C., in addition to the bills accrued by A.A.A.'s initial supplier, Endesa, until it gave the order to stop paying the bills.

5. On October 27, a supervisor from LUCERA contacted C.C.C. again in order to facilitate the change of supplier to Iberdrola. C.C.C. requested information about the lady who contracted with LUCERA, to which the supervisor indicated that, due to data protection regulations, it is not possible to provide information about the lady, and upon her insistence, she offered to provide A.A.A. with C.C.C.'s phone number. According to C.C.C., his intention is to pay A.A.A. for the year of electricity that A.A.A. has paid for his consumption. C.C.C. expressly agrees that his phone number be provided to A.A.A. so that A.A.A. can contact him to reach an agreement regarding the payments for the consumption of C.C.C. that A.A.A. has paid.

6. On October 29, the contract for the CUPS ***CODE.1 (owned by the neighbor of the complainant) changes companies.

7. On January 28, 2022, a complaint was filed with LUCERA, submitted by a third party on behalf of A.A.A. As a result of this complaint, the invoices issued for an amount of 535.02 euros were annulled, and the amounts were returned to the last account number associated with the complainant.

The error in the contracting occurred due to B.B.B. providing a CUPS that is not A.A.A.'s at the time of contracting, claiming it is the CUPS provided by the distributor, as well as the distributor, which did not reject the switching, despite being the only one with the data of the supply point, including the ID of the owner. LUCERA has proceeded to refund the complainant the amounts accrued as a result of this contracting, 535.02 euros to the account number from which the supply payments were made.

In relation to the exchange of messages that has occurred with the distributor, the representatives of the entity state that the CUPS was provided directly by the contracting person and that the company does not have visibility of the persons listed as owners of the supply point, with that information only available to the distributor.

They provide the following documentation:

- Order, 1 request for change of distributor, 10/26/2020.

- Rejection of the order for not matching ID, 10/26/2020.
- Request for change of supplier with request for change of ownership 10/27/2020 Acceptance of the change Activation of the change 10/28/2020
- Notice of customer departure from the company 10/29/2021
- Confirmation of the customer's cancellation with our company 10/30/2021

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The representatives of I-DE REDES ELÉCTRICAS INTELIGENTES, S.A.U. (hereinafter I-DE REDES) state regarding the checks carried out by the distributor on the content of the request for change of supplier to verify that the specific requirements of the process are met, the following:

- Currently, there is a supply point in the name of the complainant marketed by ENDESA, with CUPS ***CODE.2 located at ***ADDRESS.1, Valencia, which has been marketed by ENDESA since 10/09/2014, always in the name of the complainant.

There have been no requests for a change of supplier regarding this supply (neither from LUCERA nor from any other supplier).

- Another supply point whose ownership has corresponded to the complainant has CUPS ***CODE.1 at ***ADDRESS.2, Valencia. It is the same address as the currently valid supply contract, but differs in the number. The supply contract currently in force with ENDESA referred to in the previous section is number "17," while the number of this supply address is "7."

This supply point was marketed by the marketing company ENERGÍA COLECTIVA, S.L. (hereinafter "LUCERA").

Regarding this supply point, on 10/26/20, there was a request from the marketing company LUCERA for a change of supplier without a change of ownership (format C1). This request was rejected because the change of ownership was not requested (the owner listed at the time did not match the one communicated by LUCERA) (request ***REQUEST.1).

On 10/27/20, LUCERA issued a new request for a change of supplier, this time with a change of ownership to A.A.A. (form C2), which was accepted as it formally met all the requirements.

On 10/30/2021, regarding this supply point, there is a request for a change of supplier and ownership, which is processed, so its owner ceases to be the complainant.

Article 40.2 of Law 24/2013, of December 26, on the Electricity Sector, in its obligations, establishes that the distributor is merely an executor of these requests as long as they meet certain technical conditions and the formats themselves, so it does not make value judgments about whether a change of supplier, a change of ownership, or both, are appropriate within the usual and contractual relationship between the customer and the marketing company, nor does it receive any type of documentation proving the signature of the contract between the end customer and the marketer.

In the distributor's opinion, everything seems to indicate that the marketing company LUCERA mistakenly requested a change of supplier with a change of ownership in the name of the complainant for a supply address with which the latter had no relation, although it was very similar to that of a

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Supply point that was indeed under its ownership: Supply point that the claimant was indeed the owner of: address ***ADDRESS.1, Valencia. Supply point regarding which the change of ownership is requested, with which the claimant had no relationship: address ***ADDRESS.2, Valencia.

It seems to be a confusion on the part of LUCERA in its request to i-DE made on 27/10/20. LUCERA would have made a mistake in the street number concerning the change of ownership of the supply point. As a result of the above, the supply point at address ***ADDRESS.1, Valencia continued to be

marketed by ENDESA ENERGÍA, S.A.U. in the name of the claimant, and additionally, the supply point located at ***ADDRESS.2, Valencia was put in the claimant's name.

FIFTH: On 03/05/2023, the Director of the Spanish Agency for Data Protection agreed to initiate sanctioning proceedings against the respondent for the alleged infringement of Article 5.1.d) of the GDPR, classified under Article 83.5.a) of the GDPR.

SIXTH: Upon notification of the initiation agreement, the respondent requested on 05/05/2023 an extension of the deadline to respond and a copy of the file; the extension was granted, and the copy was provided to him on 09/05/2023.

The respondent submitted a written statement of allegations on 26/05/2023 stating, in summary: that he is not responsible for the events that occurred; that he has in no case violated the principle of data accuracy and, regarding the circumstances applicable to the individual case and in accordance with Article 83.2 GDPR, concurrent circumstances and the disproportionality of the proposed sanction have not been taken into account; the filing of the file or, subsidiarily, his warning or imposition of a light sanction.

SEVENTH: On 23/06/2023, the instructor of the procedure agreed to open a period for the practice of evidence, agreeing on the following:

- To consider the claims filed by the claimants and their documentation as reproduced for evidentiary purposes, as well as the documents obtained and generated by the Inspection Services that are part of the file.
- To consider the allegations to the initiation agreement presented by the respondent and the accompanying documentation as reproduced for evidentiary purposes.

EIGHTH: On 18/09/2023, a Proposal for resolution was issued stating that the Director of the AEPD should sanction the respondent for the infringement of Article 5.1.d) of the GDPR, classified under Article 83.5.a) of the GDPR, with a fine of €70,000 (seventy thousand euros).

On 02/10/2023, the respondent submitted a written statement of allegations regarding the aforementioned Proposal expressing his disagreement with it and alleging, in summary: omission incongruity; that the respondent cannot be attributed with the infringement of the principle of data accuracy; absence of culpability; the inadequate grading of the infringement and the filing of the procedure, or subsidiarily a warning sanction or a qualification of the infringement as minor.

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NINTH: From the actions taken in the present procedure, the following have been accredited,

PROVEN FACTS

FIRST. On 17/02/2022, a document from the claimant was received at the AEPD stating that, after requesting a change of energy supplier in October 2020, from Endesa to Lucera; the respondent has charged him for the supply of another address and, simultaneously, he continued to be charged for the bills of his address by Endesa.

SECOND. It is recorded that the claimant provided authorization in favor of D.D.D. to represent him both before the AEPD and before the respondent to claim the unduly paid bills.

THIRD. The claimant has submitted invoices (...) issued by LUCERA, in the name of the claimant, corresponding to the address ***ADDRESS.2, Valencia, CUPS ***CODE.1.

FOURTH. The claimant has submitted invoices (...) issued by ENDESA, in the name of the claimant and corresponding to the address, ***ADDRESS.1, Valencia, CUPS ***CODE.2.

FIFTH. LUCERA in a document dated 24/06/2022 has stated that "the error occurs due to B.B.B. (the person who contracted the change of supply on behalf of the claimant) providing a CUPS that is not that of A.A.A. at the time of contracting, claiming that it is the CUPS provided by the distributor, and that the distributor did not reject the switching, despite being the only one that has the data of the supply point, including the ID of the owner, my represented party proceeded to refund the amounts accrued as a result of this contracting, €535.02.

In summary, C.C.C. (owner of the address at ***ADDRESS.2, Valencia, CUPS ***CODE.1), has benefited from a year of free electricity and the amounts paid by A.A.A. to my represented party were refunded to the account number that we had on file for the interested party, from which the supply payments were made.”

SIXTH. I-DE REDES, the distribution company, in a document dated 21/11/2022 has stated that:

“In light of the above, everything seems to indicate that the marketer LUCERA mistakenly requested a change of marketer with a change of ownership in the name of the claimant over a supply address with which the latter had no relationship, although it was very similar to that of a supply point that was indeed under its ownership, namely:

Supply point that the claimant was indeed the owner of: address ***ADDRESS.1, Valencia.

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Supply point for which the change of ownership is requested, with which the claimant indicates that there was no relationship: address ***ADDRESS.2, Valencia.

It seems to be a confusion on the part of LUCERA in its request to I-DE made on 27/10/20.

LUCERA would have made a mistake regarding the street number subject to the change of ownership of the supply point.

In relation to this request, as previously stated, in accordance with Article 40.2 of Law 24/2013, of December 26, on the Electric Sector, in its obligations, I-DE was merely an executor of this request, given that the formats established for this purpose by the CNMC had been complied with, since I-DE does not make value judgments on whether a change of marketer, a change of ownership, or both, are appropriate within the usual and contractual relationship between the customer and the marketing company, nor does it receive any type of documentation proving the signature of the contract between the final customer and the marketer.

As a result of the above, the supply point at the address ***ADDRESS.1, Valencia, continued to be marketed by ENDESA ENERGÍA, S.A.U. in the name of the claimant, and additionally, the supply point located at ***ADDRESS.2, Valencia was registered in her name.

SEVENTH. In a letter dated 23/11/2022, the respondent reiterated that “the CUPS was provided to us directly by the contracting person at the time of registration and that she herself states that the CUPS was provided to her by the distributor, as she did not have any invoice.”

LEGAL GROUNDS

I

Competence

In accordance with the powers granted to each supervisory authority by Article 58.2 of Regulation (EU) 2016/679 (General Data Protection Regulation, hereinafter GDPR), and as established in Articles 47, 48.1, 64.2, and 68.1 of Organic Law 3/2018, of December 5, on the Protection of Personal Data and guarantee of digital rights (hereinafter, LOPDGDD), the Director of the Spanish Agency for Data Protection is competent to initiate and resolve this procedure.

Furthermore, Article 63.2 of the LOPDGDD states that: “The procedures processed by the Spanish Agency for Data Protection shall be governed by the provisions of Regulation (EU) 2016/679, by this organic law, by the regulatory provisions issued for its development, and, to the extent that they do not contradict them, subsidiarily by the general rules on administrative procedures.”

II

Preliminary issue

Article 58 of the GDPR, Powers, states:

“2. Each supervisory authority shall have all of the following corrective powers:

“(…)

d) to order the controller or processor to bring processing operations into compliance with the provisions of this Regulation, when appropriate, in a specific manner and within a specified time;

(…)

i) to impose an administrative fine in accordance with Article 83, in addition to or instead of the measures mentioned in this paragraph, depending on the circumstances of each particular case; (...)"

III

Obligation breached: Article 5.1.d) GDPR

The GDPR addresses in its Article 5 the principles that must govern the processing of personal data and mentions among them the principle of accuracy, stating that:

"1. Personal data shall be:

(...)"

d) accurate and, where necessary, kept up to date; every reasonable step must be taken to ensure that personal data that are inaccurate with respect to the purposes for which they are processed are erased or rectified without delay ('accuracy');

(...)"

What is stated in the aforementioned regulation must be related to Article 5, Accuracy of data, of the new Organic Law 3/2018, of December 5, on the Protection of Personal Data and guarantee of digital rights (hereinafter LOPDGDD), which establishes in its section 1 that:

"1. In accordance with Article 5.1.d) of Regulation (EU) 2016/679, the data shall be accurate and, where necessary, kept up to date.

2. For the purposes provided for in Article 5.1.d) of Regulation (EU) 2016/679, the controller shall not be held liable for the inaccuracy of personal data, provided that it has taken all reasonable measures to ensure that they are erased or rectified without delay, with respect to the purposes for which they are processed, when the inaccurate data:

a) have been obtained by the controller directly from the affected party.

b) have been obtained by the controller from a mediator or intermediary in cases where the applicable regulations in the sector to which the controller belongs established the possibility of intervention by a mediator or intermediary who collects the data on their own behalf for transmission to the controller.

The mediator or intermediary shall assume the responsibilities that may arise in the event of...

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communication to the data controller that do not correspond to those provided by the affected party.

c) Were processed by the controller after having been received from another controller by virtue of the exercise by the affected party of the right to data portability in accordance with Article 20 of Regulation (EU) 2016/679 and the provisions of this organic law.

d) Were obtained from a public register by the controller."

In relation to this principle, Recital 39 of the GDPR indicates, among other matters, that: "(39) (...) to ensure that personal data is not kept longer than necessary, the data controller must establish deadlines for its deletion or periodic review. All reasonable measures must be taken to ensure that inaccurate personal data is rectified or deleted."

And Recital 71: "(71) (...) in order to ensure fair and transparent processing in relation to the data subject, taking into account the specific circumstances and context in which personal data is processed, the data controller must use appropriate mathematical or statistical procedures for profiling, apply appropriate technical and organizational measures to ensure, in particular, that factors introducing inaccuracies into personal data are corrected and the risk of error is minimized, secure personal data in a way that takes into account the potential risks to the interests and rights of the data subject, and prevent, among other things, discriminatory effects on individuals based on race or ethnic origin, political opinions, religion or beliefs, trade union affiliation, genetic condition or health status or sexual orientation, or processing that leads to measures that produce such effects."

IV

Classification of the infringement of Article 5.1.d) of the GDPR

The infringement attributed to the respondent is classified in Article 83.5 a) of the GDPR, which

considers that the infringement of “the basic principles for processing, including the conditions for consent in accordance with Articles 5, 6, 7, and 9” is subject to penalties, according to paragraph 5 of the aforementioned Article 83 of the cited Regulation, “with administrative fines of up to €20,000,000 or, in the case of an enterprise, an amount equivalent to 4% of the total global annual turnover of the previous financial year, opting for the higher amount.”

The LOPDGDD in its Article 71, Infringements, states that: “Acts and behaviors referred to in paragraphs 4, 5, and 6 of Article 83 of Regulation (EU) 2016/679, as well as those that are contrary to this organic law, constitute infringements.”

And in its Article 72, it considers for the purposes of prescription that they are: “Infringements considered very serious:

1. Based on what is established in Article 83.5 of Regulation (EU) 2016/679, the infringements that are considered very serious and will prescribe after three years are those that...

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Assume a substantial violation of the articles mentioned therein and, in particular, the following:

(...)

a) The processing of personal data violating the principles and guarantees established in Article 5 of Regulation (EU) 2016/679.

(...)

V

Allegations to the proposal

1. The respondent has reiterated their disagreement with the proposed sanction, arguing that the inaccuracy of the personal data obtained directly from the affected party cannot be attributed to the data controller, as the person who contracted was the one who provided the CUPS number, stating that it had been provided by the distributor and that the distributor did not reject the switching despite being the only one with the data of the supply point, including the ID of the holder.

However, such a statement cannot be accepted, since even assuming that another person contracted the service on behalf of the claimant, a representation that has not been substantiated, the responsibility for the events falls on the respondent for incurring in a serious lack of diligence in the processing carried out.

It is reiterated to the respondent that, as the incoming marketer and agent of their client, they requested a Change of Marketer from the distributor without modifications to the access contract (format C1), which was rejected by the distributor, raising objections to the aforementioned request on the grounds that the NIF did not match the one existing in the contract that was in force.

Therefore, it is not true what the respondent claims when they state that the distributor did not reject the switching despite being the only one with the data of the supply point, including the ID of its holder; in this case, the ID of the claimant was included in the change request, and due to the discrepancy with the existing data, the distributor expressed their objection by rejecting the request.

Now, as already indicated in the Proposal, instead of verifying and checking the accuracy of the data before requesting the new change, they modified the modality of the same so that it could materialize, which constitutes a serious lack of diligence, an omission of their obligation.

It is reiterated that the respondent, due to the activity they carry out, must be familiar with the regulations of the electricity sector and understands the importance of correctly associating the CUPS to the supply contracts they formalize, as well as the effects that may arise from the inaccuracy of this data, for which they are required to exercise special care in this regard.

The AEPD has indicated on numerous occasions that the CUPS identifies the supply point and, therefore, objectively and unequivocally designates and distinguishes an electricity user who is the holder of that supply point, against the

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remaining users. That is to say, the CUPS is a piece of personal data since it uniquely identifies its holder without the need for knowing their first and last names, as it is a unique identifier.

The CUPS is personal data because it alone allows for the identification of its holder, just like a DNI number or a bank account number.

Well, the conduct of the respondent caused the personal data of the claimant to be associated with the CUPS of a third party's residence, which had nothing to do with the claimant and whose supply had to be paid for without it corresponding to them, according to what was stated in the complaint letter "being the first of the invoices from October 2020 (from October 28), and the last, from July 2021 (covering until July 31, 2021)," in addition to maintaining the supply from the marketer from which they requested to dissociate, which, as it could not be materialized, continued billing them with the evident detriment that this entailed and "in response to which I ordered my bank to not process the payment of new invoices, since I was theoretically already a customer of that company."

Therefore, the aforementioned argument must be rejected.

2. The respondent insists on the absence of culpability in the commission of the infringement; the TS has reasoned that "it is not enough...for exculpation against a typically unlawful behavior to invoke the absence of fault" but it is necessary "that the diligence required by those who allege its non-existence has been employed" (STS January 23, 1998).

In that doctrine, the STC (Second Chamber) 129/2003, of June 30, 2003, elaborates, citing the previous STC 246/1991, stating in its F.J. 8: (...) the admission in our administrative sanctioning law of the direct responsibility of legal entities, thus recognizing their infringing capacity, entails that responsibility is configured based on the capacity for infringement and the responsibility, "which derives from the legal good protected by the norm that is infringed and the necessity for that protection to be truly effective ... and by the risk that, consequently, the legal entity subject to compliance with that norm must assume" (STC 246/1991, FJ 2). In the present case, given that there was evidentiary activity against the facts attributed to the now-appellant company, it was up to them to provide the administrative bodies that intervened in the processing of the file with a principle of proof, however minimal, that would allow them to think that the infringement of the norm was not attributable to them (...).

Therefore, the entity has suffered from a lack of diligence as evidenced by the fact that its internal procedures or action protocols were ineffective and despite the distributor rejecting the first of the requests for a change of marketer by raising objections and expressing the reason for the rejection, stating as a comment that the NIF did not match the one in the contract, which implied and presumed that the claimant could not be the holder of the supply point for the provided address, continued with the contracting procedure by varying the model of the contracting request, which resulted in it being materialized.

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3. The respondent has alleged the inadequate grading of the sanction imposed in the proposal, given the mitigating circumstances of responsibility that have not been taken into account to reduce the sanction imposed by the AEPD. However, in accordance with the circumstances present in this case, the proposal issued is neither inadequate nor does it violate the principle of proportionality in determining the sanction, being balanced and proportionate to the severity of the infringement committed, the importance of the facts, as well as the circumstances considered for grading the sanction, without any reasons being evident that would further justify the reduction made, especially considering the amount to which such a sanction may rise in accordance with Article 83.5.a) of the GDPR, which provides for very serious infringements under Article 6.1, "... administrative fines of up to 20,000,000 EUR or, in the case of a company, an amount equivalent to a maximum of 4% of the total

global annual turnover of the previous financial year, opting for the higher amount” or “... with administrative fines of up to 10,000,000 EUR or, in the case of a company, an amount equivalent to a maximum of 2% of the total global annual turnover of the previous financial year, opting for the higher amount.” It should be noted that the Audiencia Nacional in numerous rulings has indicated that the principle of proportionality cannot be exempt from judicial review, as the margin of appreciation granted to the Administration in imposing sanctions within the legally established limits must be developed by weighing, in any case, the concurrent circumstances, in order to achieve the necessary and due proportion between the facts attributed and the responsibility required, given that any sanction must be determined in accordance with the seriousness of the infringement committed and according to a criterion of proportionality in relation to the circumstances of the fact. Thus, proportionality constitutes a normative principle imposed on the Administration that reduces the scope of its sanctioning powers.

VI

Qualification and Analysis

1. From the documentation in the file, it is evident that the respondent has violated Article 5.1.d), principle of accuracy, in relation to Article 5 of the LOPGDD, Accuracy of data, since, after the request for a change of marketer was rejected, the respondent did not carry out any activity to verify the accuracy of the data or confirm it with the interested party before requesting the change of ownership. In relation to Article 5.1.d) and its update (which would be the manifestation of the principle of accuracy that could be understood as breached), it requires that “reasonable measures be taken to ensure that inaccurate personal data are erased or rectified without delay with respect to the purposes for which they are processed.”

In this sense, the Audiencia Nacional stated in its ruling of 27/02/2008, Appeal 210/2007, “... The principle of truthfulness or accuracy is of great relevance, as it is not only necessary that the data be collected for processing according to a series of criteria (principle of proportionality) and that...

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they are used for purposes compatible with those that motivated the collection (principle of purpose), but it also requires that those who collect and process personal data guarantee and protect that the information being processed is not inaccurate and is kept up to date.

The failure or violation of the principle of accuracy can have significant consequences for the affected party...>>. In relation to the aforementioned article and its update (which would be the manifestation of the principle of accuracy that could be understood as violated), it requires that “reasonable measures are adopted to ensure that inaccurate personal data is erased or rectified without delay concerning the purposes for which it is processed.”

That is to say, Article 5.1.d) does not impose disproportionate measures to update the data, but rather reasonable ones, taking into account the available means and the purpose for which the data is used. This is also expressed in Recital 39 of the GDPR.

2. It should be noted that the customer or consumer wishing to receive electrical energy at their home needs to be the holder of two differentiated contracts concerning their supply point (CUPS):

- a) The supply contract, which is signed between a consumer and an electricity marketing company.
- b) The access contract to the distribution network that the consumer signs with the distribution company, with the intermediation as a representative of the marketing company with which they have contracted the purchase of electrical energy.

When a customer wishes to contract electricity for a supply point or make any contractual modification, they approach a marketing company, which, on their behalf and as their representative, contracts access to the distribution network.

Any contractual modification requested by a marketer from a distributor is carried out through digital requests complying with the exchange formats between agents established by the CNMC, under the Resolution of 17/12/2019, which approves new formats for the information exchange files between distributors and marketers and modifies the Resolution of 20/12/2016.

In a case such as the one being analyzed, where a change of marketer was requested with a simultaneous change of holder, especially after the first request for a change of marketer was rejected due to a change of marketer without modifications to the access contract, it requires that the entity not

only comply with the specific regulations of the electricity sector but also carry out a minimum due diligence to ensure that the documentation and the person attempting to contract is who they claim to be and to effectively manage the requested change.

It should be noted that various legal norms affect this matter, among which is Directive (EU) 2019/944 of the European Parliament and of the Council, of 5/06/2019, on common rules for the internal electricity market and which amends Directive 2012/27/EU (hereinafter, Directive 2019/944), whose Article 23, "Data Management," provides in paragraph 3 that "The processing of personal data under this Directive shall be carried out in accordance with Regulation (EU) 2016/679"; Royal Decree 1955/2000, of December 1, which regulates the activities of transport, distribution,

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marketing, supply, and authorization procedures for electrical installations; Royal Decree 1435/2002, which regulates the basic conditions of energy acquisition contracts and access to low voltage networks, dedicating its Article 7 to the "Information System of Supply Points that the distributor must maintain" (SIPS); Royal Decree 1011/2009, which regulates the Supplier Change Office, which is entrusted with among its functions (Article 3.s)) the verification of the effective consent of consumers to the change of supplier; Law 24/2013, of December 26, on the Electricity Sector; the Third Additional Provision of Royal Decree 1074/2015 and Resolution of the National Commission on Markets and Competition of 17/12/2019 "approving the new formats of the information exchange files between distributors and marketers and modifying the Resolution of 20/12/2016."

The AEPD has also stated regarding the nature of the data in the electrical SIPS, indicating that "the Information System of Supply Points incorporates personal data, since from the Supply Point Code it is possible to identify the consumer to whom the information refers, thus allowing the entire content of the system to be linked to that consumer."

As previously mentioned, the National Commission on Energy (CNE) through its reports has considered that the incoming marketer is the only interlocutor of the consumer during the change process, as it favors the simplicity of the procedure and reduces possible barriers to change, and that the incoming marketer must be responsible for handling the change and safeguarding the documentation that unequivocally proves the customer's consent.

In its report of 28/02/2013 - in response to a query raised by an association regarding the accreditation of the rightful title in the processes of supply change and change of contract holder with network access - it states that the incoming marketer is the only interlocutor of the consumer during the change process. The CNE adds in its report:

"Thus, Order ITG/1659/2009 places the obligation on the marketer to have at all times the documentation that certifies the customer's intention to change suppliers in their favor. In this line, Royal Decree 1011/2009 in its section q) introduces among the functions of OCSUM the verification of the effective consent of consumers to the change of marketer, while in section p) and Order ITC/1659/2009 grants OCSUM the authority to require all documentation necessary to verify the proper application of the process and its authenticity."

And finally, the CNE report concludes as follows: "Therefore, the new holder must prove the rightful title to proceed with a transfer of network access contract, and the marketer must safeguard and verify the documentation, particularly for those cases in which a change of marketer is requested with a simultaneous change of holder, being OCSUM who has the authority to require all documentation to verify the change process."

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In the present case, a series of facts indicate that the respondent has acted with a lack of diligence in

fulfilling its obligations. It would have sufficed for said entity to comply with its specific regulations by verifying the documentation and identifying the new user, retaining the title under which the person requesting to be the holder supported their application for a contract change linking it to the CUPS of the claimant's residence.

The treatment carried out by the respondent of the claimant's personal data - materialized conduct through the contracting of the supply for the CUPS linked to the residence of a third party of which the claimant is not the holder and for which they have been billed, while also maintaining the supply from the marketer from which they wished to disassociate - constitutes a violation of the principle of data accuracy, subsumable under Article 72 of the LOPDGDD, which establishes that the following are considered very serious infringements:

a) The processing of personal data violating the principles and guarantees established in Article 5 of Regulation (EU) 2016/679.

3. From the documentation provided in the file, it follows that as a result of the claimant's request for a supply change to the respondent, there have been two parallel supply contracts, and moreover, both were charged to the account: One, for the CUPS ***CODE.2, ***ADDRESS.1, Valencia (contract signed with the marketer ENDESA whose address and CUPS correspond to the claimant).

Two, for the CUPS ***CODE.1 at the address ***ADDRESS.2, Valencia (contract signed with the marketer LUCERA and whose address and CUPS do not correspond to the claimant but to a third party identified by C.C.C.).

On 26/10/2020, the respondent, as the incoming marketer and agent of its client, requested a Change of marketer from the distributor without modifications to the access contract (format C1 of the CNMC Resolution of 17/12/2019), which was rejected by the distributor due to objections, expressing the reason for the rejection of the request for change to the incoming marketer, (...).

It should be noted that in the request from the marketer, among other details, the NIF number of the claimant was recorded; therefore, the argument made by the respondent that the distributor "did not reject the switching, despite being the only one with the data of the supply point, including the ID of the holder..." is not understood, since, as previously noted, this data was also known by the respondent and was the reason for the rejection expressed by the distributor.

Therefore, in light of the objections raised by the distributor, it seemed obvious that the holder of the request and the one recorded by the distributor were not the same person, as their ID did not match. Despite this, one day later, on 27/10/2020, the respondent made a new request for a Change of marketer with modifications to the access contract (format C2 of the CNMC Resolution of 17/12/2019), which this time was accepted.

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upon fulfilling the requirements set forth in the Information Exchange File Format of the CNMC dated 17/12/2019.

That is, instead of verifying and confirming the accuracy of the data before requesting the change of ownership, it modified the change modality so that it could be realized. In this new request, the NIF number of the claimant was no longer included.

4. The respondent has stated that "the problem arises from the fact that the relative of the interested party (B.B.B.) provided incorrect data to Lucera, due to Iberdrola providing the CUPS of a third party. This is reflected in the conclusions of the Preliminary Inspection Report..."

However, such statements cannot be accepted; it is evident from the points mentioned above that there is not only a lack of good practices in contracting but also a lack of diligence, since, instead of analyzing and verifying the accuracy of the collected data, it proceeded to modify the change of supplier modality so that such change could take effect.

The respondent, due to the activity it carries out, must be aware of the regulations in the electricity sector and understands the importance of correctly associating the CUPS with the supply contracts it formalizes, as well as the effects that may arise from the inaccuracy of this data, for which it is required

to exercise special care in this regard.

The Supreme Court (Judgments of 16 and 22/04/1991) considers that from the culpability element it follows that "... the action or omission, classified as a sanctionable administrative infringement, must, in any case, be attributable to its author, either by intent or negligence, imprudence, or inexcusable ignorance."

For its part, the National Court, in its Judgment of 29/06/2001, regarding the protection of personal data, has stated that "... simple negligence or failure to comply with the duties imposed by law on those responsible for files or data processing to exercise due diligence is sufficient..."

Regarding the CUPS number, this data is not linked to a person but to a specific dwelling, and furthermore, this data is held by the local distributor (along with the name, surname, NIF, and habitual address of the user of the dwelling) as provided for in Royal Decree 1435/2002, in its article 7.

The AEPD has pronounced on the nature of the data of the electric SIPS stating that "the Supply Point Information System incorporates personal data, given that from the Supply Point Code it is possible to identify the consumer to whom the information refers, thus linking all the content of the system with that consumer."

In this regard, upon the request for contracting a new client, the respondent must confirm with the client whether it is a new registration or a change of supplier.

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If it is a change of supplier, it must be confirmed whether the current holder of the supply contract is the one making the request, and additionally, collect the necessary data and documentation to carry out the contracting and properly manage the requested change.

The respondent, when receiving the rejection of the initial request for Change of supplier without modifications to the access contract (format C1), should have known that the reason for rejection, NIF-CIF DOES NOT MATCH THAT OF THE CURRENT CONTRACT, implied that the claimant could not be the holder of the supply point for the provided address and, furthermore, even if the provided CUPS was incorrect, because the CUPS is a data linked to an address and the change promoted was only that of the supplier.

Moreover, knowing that the provided ID did not match that of the holder of the current contract, the respondent promoted a second request for Change of supplier with modifications to the access contract (format C2), knowing that such change would not be rejected as it indeed happened, which demonstrates their serious lack of diligence.

Therefore, it is perplexing that, instead of verifying the accuracy of the data, they modified the type of request for change of supplier with modifications to the access contract, in order to ensure that it could materialize, despite the respondent stating that the responsibility lies with the distributor.

As we mentioned earlier, the CUPS number is a data linked to the residence, so in order to proceed with the contracting of the electricity supply, the respondent should have been diligent in adopting the necessary and pertinent precautions and guarantees to avoid associating the CUPS of a third party's residence with that of the claimant's residence (whose CUPS and address were different); an error in the address of the supply point that was subject to change causing two effects: first, that the requested change was not carried out, meaning that the supply to the claimant's residence continued to be provided by ENDESA, with the corresponding billing, and second, that the CUPS of the third party was linked to the claimant's address, causing the supply provided by LUCERA and the corresponding billing for the third party to be charged to the claimant's account, who was effectively covering their consumption for almost a year.

As the distributor itself states in its letter dated 21/11/2022, "the supply point at the address ***ADDRESS.1, Valencia, continued to be marketed by ENDESA ENERGÍA, S.A.U. in the name of the claimant and additionally, the supply point located at ***ADDRESS.2, Valencia was put in their name." This behavior violates Article 5.1.d) by failing to adopt measures aimed at updating the data, and its infringement is recorded in Article 83.5.a) of the GDPR.

VII

Sanction for the infringement of Article 5.1.d) of the GDPR

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In order to establish the administrative fine that should be imposed, the provisions contained in Articles 83.1 and 83.2 of the GDPR must be observed, which state:

“1. Each supervisory authority shall ensure that the imposition of administrative fines under this article for the infringements of this Regulation indicated in paragraphs 4, 5, and 6 are, in each individual case, effective, proportionate, and dissuasive.

2. Administrative fines shall be imposed, depending on the circumstances of each individual case, as an additional or substitute measure to those contemplated in Article 58, paragraph 2, letters a) to h) and j). In deciding the imposition of an administrative fine and its amount in each individual case, the following shall be duly taken into account:

- a) the nature, gravity, and duration of the infringement, taking into account the nature, scope, or purpose of the processing operation in question as well as the number of data subjects affected and the level of damage and harm they have suffered;
- b) the intentionality or negligence in the infringement;
- c) any measures taken by the controller or processor to mitigate the damage and harm suffered by the data subjects;
- d) the degree of responsibility of the controller or processor, taking into account the technical or organizational measures they have implemented pursuant to Articles 25 and 32;
- e) any previous infringement committed by the controller or processor;
- f) the degree of cooperation with the supervisory authority in order to remedy the infringement and mitigate the possible adverse effects of the infringement;
- g) the categories of personal data affected by the infringement;
- h) the manner in which the supervisory authority became aware of the infringement, in particular whether the controller or processor notified the infringement and, if so, to what extent;
- i) when the measures indicated in Article 58, paragraph 2, have been previously ordered against the controller or processor in relation to the same matter, the compliance with such measures;
- j) adherence to codes of conduct under Article 40 or to certification mechanisms approved under Article 42, and
- k) any other aggravating or mitigating factor applicable to the circumstances of the case, such as the financial benefits obtained or the losses avoided, directly or indirectly, through the infringement.”

In relation to letter k) of Article 83.2 of the GDPR, the LOPDGDD, in its Article 76, “Sanctions and corrective measures,” establishes that:

“2. According to the provisions of Article 83.2.k) of Regulation (EU) 2016/679, the following may also be taken into account:

- a) The continued nature of the infringement.
- b) The connection of the infringer's activity with the processing of personal data.”

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- c) The benefits obtained as a consequence of the commission of the infringement.
- d) The possibility that the conduct of the affected party could have induced the commission of the infringement.
- e) The existence of a merger by absorption after the commission of the infringement, which cannot be attributed to the absorbing entity.
- f) The impact on the rights of minors.

g) To have, when not mandatory, a data protection officer.

h) The voluntary submission by the responsible party or processor to alternative dispute resolution mechanisms, in cases where there are disputes between them and any interested party.”

- According to the transcribed provisions, for the purpose of determining the amount of the fine to be imposed in this case for the infringement classified in Article 83.5.a) and Article 5.1.d) of the GDPR for which the respondent is held responsible, the following factors are initially considered concurrent:

As aggravating circumstances:

The nature and severity of the infringement: the facts revealed severely affect a basic principle in the field of personal data protection, such as the principle of accuracy (which was mistakenly referred to as the principle of legitimacy in the Proposal), sanctioned with particular severity by the GDPR, whose violation is classified as very serious; in addition to the economic damages suffered as a consequence of having to pay for the electricity supply of a residence that did not belong to them and that the requested contract was not attended to; furthermore, reference must be made to the damages caused as a result of the intrusion into the privacy sphere of the complainant, as we must not forget that we are dealing with the infringement of a fundamental right to the protection of personal data, having to approach the respondent and the AEPD by filing a complaint regarding these facts, in addition to the economic damages that have existed to the detriment of the complainant, as they had to instruct their bank to stop charging them for the invoices of a supply that did not belong to them (Article 83.2.a) of the GDPR).

The intentionality or negligence in the infringement; there is a serious lack of diligence in the actions of the investigated entity by associating in the contract the CUPS linked to the complainant's residence with a third party unrelated to the complainant.

Also connected with the degree of diligence that the data controller is obliged to exercise in compliance with the obligations imposed by data protection regulations, the SAN of 17/10/2007 can be cited. Although it was issued before the GDPR came into force, its pronouncement is perfectly extrapolable to the case we are analyzing. The ruling, after referring to the fact that entities whose activities involve continuous processing of data of clients and third parties must observe an adequate level of diligence, specified that “(...) the Supreme Court has understood that there is negligence whenever a legal duty of care is disregarded, that is, when the infringer does not behave with the required diligence. And in assessing the degree of diligence, the professionalism or lack thereof of the subject must be especially weighed, and there is no doubt that,

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In the case now examined, when the activity of the appellant involves constant and abundant handling of personal data, it must be emphasized the rigor and exquisite care required to comply with the legal provisions in this regard” (Article 83.2, b) of the GDPR).

The activity of the entity allegedly in violation is linked to the processing of data from both clients and third parties. Given the nature of its activity, the processing of personal data from clients as well as third parties is essential for the entity in question, making the significance of its conduct, which is the subject of this procedure, undeniable (Article 76.2.b) of the LOPDGDD in relation to Article 83.2.k).

VIII

Corrective Measures

Having confirmed the violations, it is appropriate to impose on the responsible party the adoption of adequate measures to align its actions with the regulations mentioned in this act, in accordance with the provisions of the aforementioned Article 58.2 d) of the GDPR, which states that each supervisory authority may “d) order the controller or processor to ensure that the processing operations comply with the provisions of this Regulation, where appropriate, in a specified manner and within a specified time frame.” The imposition of this measure is compatible with the sanction consisting of a warning, as provided in Article 83.2 of the GDPR.

Therefore, it would be deemed appropriate to order the respondent to adjust the processing activities that are the subject of this procedure to the applicable regulations within six months from the finality of this resolution and to communicate this to this agency. The text of this agreement establishes the facts that have led to the violation of data protection regulations, from which it is clearly inferred what measures should be adopted, without prejudice to the fact that the specific type of procedures, mechanisms, or instruments for implementing them corresponds to the sanctioned party, as it is the one fully aware of its organization and must decide, based on proactive responsibility and a risk-based approach, how to comply with the GDPR and the LOPDGDD.

It is noted that failure to comply with the order imposed by this agency may be considered an administrative violation in accordance with the provisions of the GDPR, classified as a violation in Articles 83.5 and 83.6, and such conduct may lead to the initiation of further administrative sanctioning procedures.

Therefore, in accordance with the applicable legislation and having assessed the criteria for the graduation of the sanctions whose existence has been established,

The Director of the Spanish Agency for Data Protection RESOLVES:

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FIRST: TO IMPOSE on ENERGÍA COLECTIVA, S.L., with NIF B98670003, a fine of €70,000 (seventy thousand euros) for an infringement of Article 5.1.d) of the GDPR, classified under Article 83.5.a) of the GDPR.

SECOND: TO NOTIFY this resolution to ENERGÍA COLECTIVA, S.L.

THIRD: TO ORDER ENERGÍA COLECTIVA, S.L., pursuant to Article 58.2.d) of the GDPR, within six months from the finality of this resolution, to adapt the processing activities that are the subject of this procedure to the applicable regulations and to prove that it has adopted measures to ensure that the processing operations comply with the provisions of this Regulation and that incidents like the one that led to this procedure for violation of Article 5.1.d) of the GDPR do not occur again, by communicating this to this management center.

FOURTH: To warn the sanctioned party that it must pay the imposed sanction once this resolution becomes enforceable, in accordance with the provisions of Article 98.1.b) of Law 39/2015, of October 1, on the Common Administrative Procedure of Public Administrations (hereinafter LPACAP), within the voluntary payment period established in Article 68 of the General Collection Regulation, approved by Royal Decree 939/2005, of July 29, in relation to Article 62 of Law 58/2003, of December 17, by depositing it, indicating the NIF of the sanctioned party and the procedure number that appears in the heading of this document, into the restricted account No. IBAN: ES00-0000-0000-0000-0000 (BIC/SWIFT Code: CAIXESBBXXX), opened in the name of the Spanish Agency for Data Protection at the banking entity CAIXABANK, S.A. Otherwise, collection will proceed in the executive period.

Upon receipt of the notification and once enforceable, if the date of enforceability falls between the 1st and 15th of each month, inclusive, the deadline for voluntary payment will be until the 20th of the following month or the next business day thereafter, and if it falls between the 16th and the last day of each month, inclusive, the payment deadline will be until the 5th of the second month following or the next business day thereafter.

In accordance with the provisions of Article 50 of the LOPDGDD, this Resolution will be made public once it has been notified to the interested parties.

Against this resolution, which concludes the administrative procedure in accordance with Article 48.6 of the LOPDGDD, and in accordance with the provisions of Article 123 of the LPACAP, the interested parties may optionally file a motion for reconsideration before the Director of the Spanish Agency for Data Protection within one month from the day following the notification of this resolution or directly file an administrative contentious appeal before the Administrative Court of the National Court, in accordance with the provisions of Article 25 and Section 5 of the fourth additional provision of Law 29/1998, of July 13, regulating the Administrative Jurisdiction, within two months from the day following

the notification of this act, as provided in Article 46.1 of the aforementioned Law.

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Finally, it is noted that in accordance with the provisions of Article 90.3 a) of the LPACAP, the final resolution in the administrative procedure may be provisionally suspended if the interested party expresses their intention to file an administrative contentious appeal. If this is the case, the interested party must formally communicate this fact by writing to the Spanish Agency for Data Protection, submitting it through the Electronic Registry of the Agency

[<https://sedeagpd.gob.es/sede-electronica-web/>], or through any of the other registries provided for in Article 16.4 of Law 39/2015, of October 1. They must also provide the Agency with documentation proving the effective filing of the administrative contentious appeal. If the Agency is not aware of the filing of the administrative contentious appeal within two months from the day following the notification of this resolution, the provisional suspension would be considered terminated.

Mar España Martí

Director of the Spanish Agency for Data Protection

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